

FUNDAMENTALS OF COSTING AND PRICING

DAY 1



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FINANCIAL ASSESSMENT

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Here are some of the questions you need to ask yourself to make sure you have covered all the financial bases in running your organization:

1. **Do you know what the total of your overheads, or running costs, will be for the next 12 months?**
 - ☐ Yes, and they're itemised in our business plan/financial projections/budget
 - ☐ Not really
 - ☐ I am not sure how to work them out
2. **Do you have an idea of how much you can expect to pay out in direct costs (direct transport, labour & materials) for the next 12 months?**
 - ☐ Yes (or I don't have any direct costs)
 - ☐ No
 - ☐ I am not sure how to work them out
3. **Have you set monthly Sales Targets based on your company's financial needs and do you monitor them?**
 - ☐ Yes
 - ☐ Not really, but I'm not sure I have to because things are ok
 - ☐ I wouldn't know how to establish such targets
4. **Have you made an estimate of your net profit (after expenses) for the next 12 months, and is it enough to sustain the business financially?**
 - ☐ Yes
 - ☐ No, but I have made it this far so I think things are ok
 - ☐ I wouldn't know how to
5. **Are you able to live on the income you make from your business?**
 - ☐ Yes, and I have worked out a 'Survival Budget' for the slower months
 - ☐ No, but we have orders pending so I am confident it will improve
 - ☐ I just take out some cash when I can
 - ☐ No, but my partner/wife/husband is working elsewhere so it is manageable
6. **Have you given any thought to the main risks your business could face financially? Do you have a Plan B for unforeseen eventualities?**
 - ☐ I have carried out a financial SWOT analysis and have planned for all contingencies
 - ☐ I believe we will be fine if we work hard and stick to our strategy
 - ☐ I haven't carried out any type of risk assessment
7. **Are you confident that the prices you sell your product or services at are correct?**
 - ☐ I am not sure, but people keep buying from me so it seems to be working so far
 - ☐ Yes, and I have got a reasonable margin to play with, if necessary
8. **Have you included all the costs involved in the delivery of your product or service in your costing and are you confident you have covered every base?**
 - ☐ No, I am not confident that all my costs are factored in
 - ☐ Yes – I have included every last cent into my costing process
 - ☐ I am not sure how to work this stuff out
9. **Have you calculated your 'Breakeven' point and looked at ways to make your business safer, financially?**
 - ☐ No, I am just going flat out until I make it - or go bust
 - ☐ Yes - and I'm aware of the areas to address in case of problems
 - ☐ I've had enough of this f*%\$# test, let me out!